

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (18 @ 3 points each) _____ (54 points)

TOTAL POINTS _____ **(114 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.
Example: Use 2.3% NOT 2%
Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).
Example: \$35.9765 to \$35.98

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Auto insurance coverage called collision protects _____.
 - A. damage to your car
 - B. damage to car you hit
 - C. damage to all cars involved in the accident.
 - D. injuries to the other driver

2. The type of stock which receives dividends first is known as _____.
 - A. preferred stock
 - B. treasury stock.
 - C. common stock
 - D. dividend stock

3. The rent you pay on your apartment is an example of a(n) _____.
 - A. discretionary expense
 - B. variable expense
 - C. fixed expense
 - D. unnecessary expense

4. A bank is the typical place to purchase this type of retirement account.
 - A. 401(k)
 - B. 403(b)
 - C. IRA
 - D. Certificate of Deposit

5. Which of the following is **not** subject to federal income tax.
 - A. Interest from a Certificate of Deposit
 - B. Tips from your job as a server
 - C. Gain on selling your stock
 - D. Interest from a municipal bond

6. Which of the following investments most likely contains the highest amount of risk?
 - A. Stock for a tech IPO
 - B. 3-year Certificate of Deposit
 - C. US T-bill
 - D. Corporate AA-rated bond

7. What is the biggest financial investment most people will make in their lifetime?
 - A. Purchasing a car
 - B. Enrolling in their company's stock purchase plan
 - C. Renting an apartment
 - D. Purchasing a home

8. Which retirement fund typically will include a company match?
 - A. Pension
 - B. 401(k)
 - C. IRA
 - D. Roth IRA
9. What is the main advantage of trading stocks using an online account rather than a broker?
 - A. You have more expertise than a broker does
 - B. The broker can be more objective than you since it's your money
 - C. The fees are generally cheaper with an online account
 - D. You are guaranteed to make money with an online account
10. What schedule is used to itemize deductions on your Federal Income Tax return?
 - A. A
 - B. B
 - C. C
 - D. D
11. What type of mutual fund would most likely invest in blue chip companies?
 - A. Income funds
 - B. Small-cap growth funds
 - C. Mid-cap value funds
 - D. S&P Index funds.
12. Which investment pays interest?
 - A. Preferred stock
 - B. Common stock
 - C. Savings bond
 - D. Equity Mutual Fund
13. The ability of the borrower to repay debt refers to which "C" of credit?
 - A. Character
 - B. Capacity
 - C. Collateral
 - D. Capital
14. What does it mean if a mutual fund has a 3% front-end load?
 - A. You will pay 3% on your investment as a fee when you purchase it
 - B. You will receive 3% additional funds on your investment in the mutual fund
 - C. The mutual fund has traditionally made 3% ROI
 - D. You will pay 3% on your investment as a fee when you sell it

15. You take out a \$10,000, three-year loan from a bank. If the interest is compounded, which of the following compounding terms would benefit you the most?
- A. Daily
 - B. Monthly
 - C. Quarterly
 - D. Annually
16. When comparing a 30-year vs. a 15-year mortgage, what is typical of the monthly payment and total interest paid?
- A. The monthly payment is lower and the interest paid is lower
 - B. The monthly payment is lower and the interest paid is higher
 - C. The monthly payment is higher and the interest paid is lower
 - D. The monthly payment is higher and the interest paid is higher
17. The amount of an individual's income that is left for spending or saving after personal necessities have been paid is known as _____ income.
- A. primary
 - B. discretionary
 - C. gross
 - D. taxable
18. What type of insurance would cover the contents of your apartment?
- A. Homeowner's Insurance
 - B. Landlord's Insurance
 - C. Renter's Insurance
 - D. Liability Insurance
19. Which of the following conditions could lower the premium on car insurance?
- A. Buying a more expensive car
 - B. Adding collision coverage on your policy
 - C. Being a good student
 - D. Having multiple traffic violations
20. Which of the following would most likely negatively affect your credit score?
- A. Getting a promotion at your job
 - B. Paying off your credit card balance in full each month
 - C. Paying off your car loan early
 - D. Applying for multiple credit cards
21. Which retirement account is typically available only for employees of tax-exempt organizations?
- A. IRA
 - B. Roth IRA
 - C. 401(k)
 - D. 403(b)

22. If you are risk averse, what would be your most likely choice as an investment?
- A. United States Treasury Bill
 - B. Stock of small cap company
 - C. Junk bond
 - D. Tech ETF
23. The APR shown on a credit card policy statement refers to the effective interest rate over what period of time?
- A. A month
 - B. A quarter
 - C. A half-year
 - D. A year
24. The specified amount of payment required periodically by an insurer to provide coverage is known as a _____.
- A. deductible
 - B. coverage
 - C. policy
 - D. premium
25. How is the profit on a stock sale shown on an income tax return?
- A. Dividends
 - B. Capital gains
 - C. Wages
 - D. Itemized deduction
26. What is the NAV on a mutual fund?
- A. The percentage of stocks vs. bonds in the investment
 - B. The price of one share of the mutual fund
 - C. The front-end load you will pay
 - D. The return on the investment
27. What is the meaning of tax deferred?
- A. Never pay taxes
 - B. Pay taxes only if you are a dependent
 - C. Taxes will be paid later
 - D. Taxes are optional
28. How many compounding periods would there be for a 4-year CD, with interest compounded quarterly?
- A. 4
 - B. 12
 - C. 16
 - D. 32

29. The process by which an employee with a qualified retirement plan becomes entitled to the money within that plan is known as _____.
- A. vesting
 - B. withdrawing
 - C. deferring
 - D. accruing
30. By what day does an employer have to send an employee Form W2 each year?
- A. January 15
 - B. January 31
 - C. March 15
 - D. April 15

Application Knowledge

Read each problem and answer the questions in the space provided. (3 points each)

1. The tax bracket table for 2022 is below. Use the tax table to find the tax liability for each person shown for 2022.

Tax Rate	Taxable Income (Single)	Taxable Income (Married Filing Jointly)
10%	Up to \$10,275	Up to \$20,550
12%	\$10,276 to \$41,775	\$20,551 to \$83,550
22%	\$41,776 to \$89,075	\$83,551 to \$178,150
24%	\$89,076 to \$170,050	\$178,151 to \$340,100
32%	\$170,051 to \$215,950	\$340,101 to \$431,900
35%	\$215,951 to \$539,900	\$431,901 to \$647,850
37%	Over \$539,901	Over \$647,851

- a. Taxable Income \$75,500; Single _____
- b. Taxable Income \$102,400; Single _____
- c. Taxable Income \$64,700; Married filing jointly _____
- d. Taxable Income \$142,100; Married filing jointly _____

2. On November 21st, 2022, Jalen Rounder signed a promissory note from his local bank in the amount of \$4,000. The note was for 90 days, with an APR of 5%.
 - a. If Jalen itemizes his deductions, how much interest can he deduct on his 2022 tax return for this note? _____
 - b. On what day will Jalen pay back his loan? _____
 - c. How much will Jalen pay back to the bank at maturity? _____
 - d. How much total interest does the note cost Jalen? _____

3. Sarah Green invests into a S&P 500 index mutual fund at the beginning of 2022. The fund has a deferred 3% load. At the time of her investment, the fund had a NAV of \$85.70. The initial requirement to get into the fund is \$5,000, and Sarah bought just enough shares to allow her to get in. For the year 2022, assume the S&P 500 increased by 12.4%.
 - a. How many shares of the mutual fund did Sarah purchase (no partial shares can be bought, only full shares)? _____
 - b. What load amount did she pay when she purchased the fund? _____
 - c. What was her total investment when she bought into the fund? _____
 - d. If the fund performed as it should have, what should the NAV be at the end of the year? _____
 - e. What should Sarah's investment be worth at year end? _____

4. Carmine Salez invested \$3,000 into a Certificate of Deposit on January 1st, 2023. The CD is a 2-year, 3.5% CD, with interest compounded semi-annually. Find the interest earned at the end of each compounding period for the life of the CD.
 - a. Interest earned for period 1 _____
 - b. Interest earned for period 2 _____
 - c. Interest earned for period 3 _____
 - d. Interest earned for period 4 _____
 - e. Total received upon maturity _____